Apple Inc. (AAPL)

F3Q26 review: Guidance miss on supply constraints & forex headwinds

AAPL	12m Price Target: **$360.00**	Price: **$333.43**	Upside: **8.0%**

AAPL's F3Q26 EPS of $1.91 (excluding +$0.11 from tariff refunds) was largely in-line with GS/consensus of $1.93/$1.89 with largely in-line revenues (iPhone and Mac beat offset by iPad and Services miss) and in-line underlying gross margins (48.1% v. GS/consensus of 48.2%/48.1%). That said, **the stock likely will trade lower on a disappointing F4Q26 guidance** which included a miss on revenue growth and gross margins with revenue growth of 9-11% yoy (v. consensus +12% yoy) and underlying gross margins of 46-47% (excluding 1pp benefit from tariff refunds and v. consensus of 47.3%). F4Q26 Services revenue growth should decelerate by 250 bps (v. 12% yoy in F3Q26) driven by incremental forex headwinds, but a slowdown in App Store was clearly a headwind in both quarters.

Although results and the forward quarter guidance clearly disappointed, we think sentiment should improve over the next 1-2 quarters as (1) price increases (Mac, iPad, and eventually iPhone) and price/mix from premium products drive upside to revenue and mitigate margin headwinds (though acknowledging continued cost inflation); (2) volume declines prove better-than-expected as affordability measures (e.g., Apple Upgrade program), new product innovation (e.g., Siri AI, new Mac, iPad, home products), and education & enterprise share gains help mitigate price-volume elasticity; and (3) Services growth stabilizes from increased demand for iCloud+ (tokens) and AppleCare+ (product momentum).

Key takeaways from the quarter

- **Increasing supply constraints amidst strong demand.** AAPL beat consensus product revenue ($78.7 bn v. consensus $77.6 bn), driven by better than expected iPhone and Mac revenues.

BUY

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Key Data

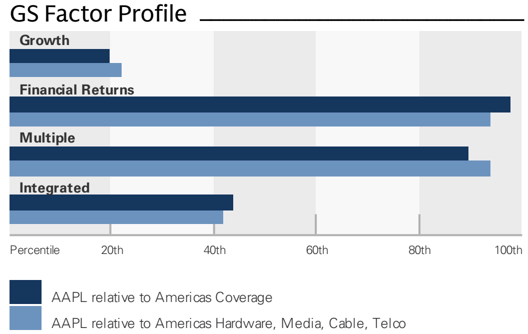
Market cap: $4.9tr
Enterprise value: $4.8tr
3m ADTV: $16.9bn
United States
Americas Hardware, Media, Cable, Telco
M&A Rank: 3

GS Forecast

	9/25	9/26E	9/27E	9/28E
Revenue ($ mn) New	**416,161.0**	**479,425.3**	**518,697.2**	**542,798.8**
Revenue ($ mn) Old	416,161.0	482,632.9	517,583.9	539,330.7
EBITDA ($ mn)	144,748.0	171,212.0	174,582.7	183,652.7
EBIT ($ mn)	133,050.0	157,831.8	159,645.6	166,920.8
EPS ($) New	**7.46**	**8.91**	**9.14**	**9.83**
EPS ($) Old	7.46	8.92	9.73	10.27
P/E (X)	30.0	37.4	36.5	33.9
Dividend yield (%)	0.5	0.3	0.3	0.3
Net debt/EBITDA (X)	(0.2)	(0.4)	(0.5)	(0.4)

	6/26	9/26E	12/26E	3/27E
EPS ($)	2.02	2.03	2.86	2.09

GS Factor Profile



Source: Company data, Goldman Sachs Research estimates. See disclosures for details.

BUY

Apple Inc. (AAPL)

Rating since Mar 5, 2023

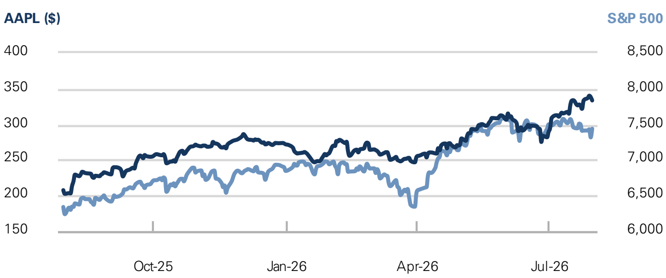
Ratios & Valuation

	9/25	9/26E	9/27E	9/28E
P/E (X)	30.0	37.4	36.5	33.9
EV/EBITDA (X)	22.9	28.2	27.3	25.2
EV/sales (X)	8.0	10.1	9.2	8.5
FCF yield (%)	3.0	3.0	3.0	3.2
EV/DACF (X)	24.2	31.0	29.4	27.1
CROCI (%)	86.0	92.7	90.6	88.5
ROE (%)	171.4	141.2	113.4	111.2
Net debt/EBITDA (X)	(0.2)	(0.4)	(0.5)	(0.4)
Net debt/equity (%)	(45.8)	(64.4)	(64.3)	(62.4)
Interest cover (X)	31.7	37.6	38.0	39.7
Inventory days	10.7	9.7	10.0	10.1
Receivable days	32.1	32.1	32.3	32.4
Days payable outstanding	114.7	109.6	106.0	107.2

Growth & Margins (%)

	9/25	9/26E	9/27E	9/28E
Total revenue growth	6.4	15.2	8.2	4.6
EBITDA growth	7.5	18.3	2.0	5.2
EPS growth	10.6	19.3	2.7	7.5
DPS growth	4.1	3.9	3.8	3.6
Gross margin	46.9	48.7	46.6	47.0
EBIT margin	32.0	32.9	30.8	30.8

Price Performance



	3m	6m	12m
Absolute	22.9%	28.5%	59.5%
Rel. to the S&P 500	19.1%	19.9%	36.5%

Source: FactSet. Price as of 30 Jul 2026 close.

Income Statement ($ mn)

	9/25	9/26E	9/27E	9/28E
Total revenue	416,161.0	479,425.3	518,697.2	542,798.8
Cost of goods sold	(220,960.0)	(245,868.4)	(277,001.6)	(287,428.0)
SG&A	(27,601.0)	(29,761.0)	(30,334.0)	(31,134.0)
R&D	(34,550.0)	(45,964.0)	(51,716.0)	(57,316.0)
Other operating inc./(exp.)	–	–	–	–
EBITDA	**144,748.0**	**171,212.0**	**174,582.7**	**183,652.7**
Depreciation & amortization	(11,698.0)	(13,380.1)	(14,937.0)	(16,731.9)
EBIT	**133,050.0**	**157,831.8**	**159,645.6**	**166,920.8**
Net interest inc./(exp.)	(321.0)	1,020.0	844.7	972.9
Income/(loss) from associates	–	–	–	–
Pre-tax profit	**132,729.0**	**158,851.8**	**160,490.4**	**167,893.7**
Provision for taxes	(20,719.0)	(27,536.7)	(27,283.4)	(28,541.9)
Minority interest	–	–	–	–
Preferred dividends	–	–	–	–
Net inc. (pre-exceptionals)	**112,010.0**	**131,315.1**	**133,207.0**	**139,351.7**
Net inc. (post-exceptionals)	**112,010.0**	**131,315.1**	**133,207.0**	**139,351.7**
EPS (basic, pre-except) ($)	**7.49**	**8.94**	**9.18**	**9.87**
EPS (diluted, pre-except) ($)	**7.46**	**8.91**	**9.14**	**9.83**
EPS (ex-ESO exp., dil.) ($)	**--**	**--**	**--**	**--**
DPS ($)	1.02	1.06	1.10	1.14
Div. payout ratio (%)	13.6	11.9	12.0	11.6
Wtd avg shares out. (basic) (mn)	14,947.7	14,687.4	14,508.8	14,120.4
Wtd avg shares out. (diluted) (mn)	15,004.7	14,745.4	14,567.4	14,179.0

Balance Sheet ($ mn)

	9/25	9/26E	9/27E	9/28E
Cash & cash equivalents	35,934.0	51,647.4	66,301.5	75,112.5
Accounts receivable	39,777.0	44,669.2	47,124.5	49,227.3
Inventory	5,718.0	7,332.3	7,819.8	8,087.8
Other current assets	66,528.0	74,490.2	74,246.4	74,990.4
Total current assets	**147,957.0**	**178,139.0**	**195,492.2**	**207,417.9**
Net PP&E	49,834.0	52,992.7	60,059.7	66,329.6
Net intangibles	6,512.0	6,512.0	6,512.0	6,512.0
Total investments	77,723.0	82,618.0	76,618.0	70,618.0
Other long-term assets	77,215.0	91,387.0	91,387.0	91,387.0
Total assets	**359,241.0**	**411,648.7**	**430,068.9**	**442,264.5**
Accounts payable	69,860.0	77,821.7	82,996.1	85,839.7
Short-term debt	20,329.0	13,004.0	13,004.0	13,004.0
Current lease liabilities	–	–	–	–
Other current liabilities	75,442.0	82,099.0	84,939.9	89,153.6
Total current liabilities	**165,631.0**	**172,924.7**	**180,940.0**	**187,997.4**
Long-term debt	78,328.0	71,340.0	71,340.0	71,340.0
Non-current lease liabilities	–	–	–	–
Other long-term liabilities	41,549.0	55,080.0	55,080.0	55,080.0
Total long-term liabilities	**119,877.0**	**126,420.0**	**126,420.0**	**126,420.0**
Total liabilities	**285,508.0**	**299,344.7**	**307,360.0**	**314,417.4**
Preferred shares	–	–	–	–
Total common equity	**73,733.0**	**112,304.0**	**122,709.0**	**127,847.1**
Minority interest	–	–	–	–
Total liabilities & equity	**359,241.0**	**411,648.7**	**430,068.9**	**442,264.5**
BVPS ($)	4.93	7.65	8.46	9.05

Cash Flow ($ mn)

	9/25	9/26E	9/27E	9/28E
Net income	112,010.0	131,315.1	133,207.0	139,351.7
D&A add-back	11,698.0	13,380.1	14,937.0	16,731.9
Minority interest add-back	–	–	–	–
Net (inc)/dec working capital	(25,000.0)	3,254.0	516.2	(857.2)
Others	12,774.0	11,828.2	14,558.4	15,286.3
Cash flow from operations	**111,482.0**	**159,777.4**	**163,218.6**	**170,512.8**
Capital expenditures	(12,715.0)	(11,067.8)	(19,204.1)	(20,201.8)
Acquisitions	–	–	–	–
Divestitures	–	–	–	–
Others	–	–	–	–
Cash flow from investing	**15,195.0**	**(21,079.8)**	**(11,204.1)**	**(12,201.8)**
Dividends paid	(15,421.0)	(15,755.3)	(16,022.4)	(16,161.9)
Share issuance/(repurchase)	(96,671.0)	(92,988.0)	(121,338.0)	(133,338.0)
Inc/(dec) in debt	–	–	–	–
Others	–	–	–	–
Cash flow from financing	**(120,686.0)**	**(122,984.3)**	**(137,360.4)**	**(149,499.9)**
Total cash flow	**5,991.0**	**15,713.4**	**14,654.1**	**8,811.0**
Free cash flow	98,767.0	148,709.6	144,014.5	150,311.0
Free cash flow per share (basic) ($)	6.61	10.12	9.93	10.64

Source: Company data, Goldman Sachs Research estimates.

First, iPhone revenue grew +22% yoy overall (DD% yoy growth across the vast majority of markets) driven by continued strong demand for the iPhone 17 family, reaching a record active installed base and record number of upgraders in the quarter. Second, Mac revenue grew +29% yoy, also with record upgraders and new customers. Notably, the company continues to see (a) increased applications for AI within the Mac Mini and (b) adoption of MacBook Neo across enterprises and education markets switching from Chromebooks (roughly half of U.S. educational institution Macbook Neo purchases displaced Windows or Chromebook devices). For the September quarter, AAPL's revenue guide of 9-11% yoy growth missed (v. consensus +12% yoy), with growth slowing from +16% in F3Q26 due to supply constraints (~350 bps yoy headwind) and forex headwinds (-150 bps yoy or -250bps qoq). AAPL guided for mid-teens yoy iPhone growth (decelerating from 22% in F3Q26) due to supply constraints on advanced node for SOC. The supply constraints primarily impacted Mac in the June quarter, but should affect iPhone, Mac, and iPad in the September quarter. AAPL noted it is too early to determine the impact from increased prices on the iPad and Mac, which we think could provide upside to revenue growth.

- **Incremental forex headwinds to impact service revenue.** F3Q26 service revenues missed ($30.7 bn v. GSe/consensus $31.4 bn/$31.4 bn), with growth decelerating to +12% yoy from +16% yoy in F2Q26. Forex was the main driver of the sequentially slower service revenue growth, with underlying trends roughly in line with AAPL's expectations (albeit with a bit more softness in mobile gaming). AAPL highlighted revenue records in advertising, AppleCare, music, video and the app store, despite the court ruling that impacted link-out transactions. AAPL expects services revenue to grow at a similar rate to F3Q26 (+12% yoy) with a 250bps headwind from forex.
- **Early feedback on SiriAI is positive.** AAPL highlighted positive developer and public beta feedback for Siri AI. The company is currently working to obtain the approvals for a simultaneous global roll out of Siri AI, although it continues to see potential delays in China and Europe. While AAPL believes it is too early to determine the impact of Siri AI on costs, it noted that Siri AI offers upgrade possibilities on Cloud+ based on usage. In general, AAPL uses a hybrid model with third-party cloud and its own data centers and has increased AI spending across the board.
- **Weaker than expected underlying gross margin guide on memory cost headwinds.** AAPL's F3Q26 gross margin of 50.1% (48.1% excluding ~2pp benefit from tariff refunds) was in-line with GS/consensus of 48.2/48.1% on an underlying basis. Meanwhile, product gross margins of 40.1% (GSe: 37.3% excluding tariff refund) beat GS/consensus of 36.8/36.0% demonstrating continued supply chain execution. While the company already saw significantly higher memory costs in June, it expects even higher costs in September. AAPL expects to partly offset the increased costs through lower expected costs on certain non-memory components and some carry in inventory in September, albeit with the benefit decreasing over time. Higher memory costs were cited as the entire reason for an expected sequential decline in AAPL's gross margin to 46-47% (v. consensus of 47.4%) in F4Q26 from 48.1% in F3Q26. Including tariff refunds, AAPL is guiding for gross margins to decline to 47-48%, down from 50.1% in F3Q26.

Earnings and guidance:

EPS of $2.02 ($1.91 excluding +$0.11 from tariff refunds) was largely in-line with GS/consensus of $1.93/$1.89 on an underlying basis. Revenue of $109.4 bn missed GS of $110.1 bn, but beat consensus of $109.0 bn with iPhone revenue of $54.3 bn missing our estimate of $54.8 bn, but beating consensus of $53.7 bn and Services revenue of $30.7 bn missing GS/consensus of $31.4/$31.4 bn. Gross margins of 50.1% beat GS/consensus of 48.2%/48.1% with Product gross margins at 40.1% v. GS/consensus of 36.8/36.0%.

- **Revenue** of $109.4 bn missed GS of $110.1 bn, but beat consensus of $109.0 bn. Products revenue of $78.7 bn was in line with GSe $78.7 bn and beat consensus $77.6 bn. Services revenue of $30.7 bn (+12% yoy) missed GSe/consensus $31.4 bn/$31.4 bn.
- **iPhone and Mac revenues beat, while iPad missed.**
    - iPhone revenue of $54.3 bn missed GSe $54.8 bn, but beat consensus $53.7 bn.
    - Mac revenue of $10.4 bn beat consensus/GSe $8.7 bn/ $9.3 bn.
    - iPad revenue of $6.2 bn was below GSe/consensus $6.8/$7.1 bn.
    - Wearables, Home, and Accessories revenue of $7.9 bn beat GSe $7.8 bn and was in line with consensus $7.9 bn.
- **Gross profit** of $54.8 bn beat GSe/consensus $53.1 bn/$52.4 bn, with a gross margin rate of 50.1% above GSe 48.2% and consensus 48.1%. Product gross margins of 40.1% (GSe: 37.3% excluding tariff refund) beat GSe/consensus 36.8%/36.0%. Services gross margins of 75.6% missed GSe 76.7% and consensus 76.3%.
- **EBIT** of $35.7 bn represented 32.6% margins, and beat GSe/consensus $34.1 bn/$33.4 bn (GS/consensus of 31.0%/30.6% margins). Operating expenses of $19.1 bn were above GSe of $18.9 bn and consensus of $19.0 bn.
- **AAPL repurchased ~$25.1 bn of shares during the quarter** (v. GSe $25.1 bn) and was up from F2Q26 (~$12.3 bn).

Apple provided F4Q26 guidance including: (1) total company revenue growth between 9-11% yoy (v. consensus +12% yoy); (2) iPhone revenue growth rate in mid-teens; (3) Services growth of 9.5% yoy (grow similar to June quarter growth of +12% with a 250bps incremental qoq forex headwind); (4) gross margins between 47%-48% including ~1pp of tariff refund benefit (v. 47.4% consensus); (5) opex between $19.1-$19.4 bn (v. consensus $19.0 bn); (6) OI&E of $350 mn; and (7) tax rate of 16.5%.

Exhibit 1: Actuals v. GS estimates v. consensus

$ millions, except per share data

	GSe					Consensus				Comments/guidance
($, mn)	Actual	yoy Δ (%)	GSe	Δ ($, mn)	Δ (%)	FactSet	Δ ($, mn)	Δ (%)	yoy Δ (%)	
Sales	$109,417	16%	$110,103	($686)	-1%	$109,039	$378	0%	16%	14-17% yoy
Gross profit	$54,770	25%	$53,051	$1,719	3%	$52,432	$2,338	4%	20%	
Operating expenses	$19,075	23%	$18,946	$129	1%	$19,018	$57	0%	23%	$18.8-$19.1 bn
Operating income	$35,695	27%	$34,105	$1,590	5%	$33,414	$2,281	7%	18%	
Other income (expense), net	$572	-435%	$250	$322	129%	$43	$529	1219%	-125%	$250 mn
Earnings before tax	$36,267	29%	$34,355	$1,912	6%	$33,457	$2,810	8%	19%	
Tax (Non-GAAP)	$6,478		$5,840	$638	11%	$5,708	$770	13%		
Tax rate	16.4%		17.0%	(0.6%)		17.1%				17.0%
Net income - Non-GAAP	$29,789	27%	$28,514	$1,275	4%	$27,742	$2,047	7%	18%	
Diluted EPS (Non-GAAP)	$2.02	29%	$1.93	$0.09	4%	$1.89	$0.13	7%	21%	
Segment information										
iPhone	$54,252	22%	$54,800	($548)	-1%	$53,742	$510	1%	21%	
iPad	$6,191	-6%	$6,828	($637)	-9%	$7,098	($907)	-13%	8%	
Mac	$10,352	29%	$9,279	$1,073	12%	$8,680	$1,672	19%	8%	
Wearables, Home and Accessories	$7,883	6%	$7,794	$89	1%	$7,904	($21)	0%	7%	
Products	$78,678	18%	$78,701	($23)	0%	$77,623	$1,055	1%	17%	
Services	$30,739	12%	$31,402	($663)	-2%	$31,414	($675)	-2%	15%	in-line with F2Q26 Services growth (+16% yoy) excluding >2.5% forex tailwinds (13% yoy)
Total revenue	**$109,417**	**16%**	**$110,103**	**($686)**	**-1%**	**$109,039**	**$378**	**0%**	**16%**	**14-17% yoy**
Products Gross Profit	$31,525	37%	$28,972	$2,553	9%	$27,962	$3,563	13%	22%	
Services Gross Profit	$23,245	12%	$24,079	($834)	-3%	$23,961	($716)	-3%	16%	
Gross profit	**$54,770**	**25%**	**$53,051**	**$1,719**	**3%**	**$52,432**	**$2,338**	**4%**	**20%**	
Products gross margin (%)	40.1%	5.6%	36.8%	3.3%		36.0%	4.0%		1.5%	
Services gross margin (%)	75.6%	0.0%	76.7%	-1.1%		76.3%	-0.7%		0.7%	
Gross profit margin (%)	**50.1%**	**3.6%**	**48.2%**	**1.9%**		**48.1%**	**2.0%**		**1.6%**	**47.5-48.5%**
Operating income margin (%)	**32.6%**	**2.6%**	**31.0%**	**1.6%**		**30.6%**	**2.0%**		**0.7%**	
Revenue by geography										
Americas	$45,781	11%	$46,142	($361)	(1%)					
Europe	$29,395	22%	$27,616	$1,779	6%					
Greater China	$18,816	22%	$19,672	($856)	(4%)					
Japan	$6,554	13%	$6,649	($95)	(1%)					
Rest of Asia-Pacific	$8,871	16%	$10,023	($1,152)	(11%)					
Total revenue	**$109,417**	**16%**	**$110,103**	**($686)**	**(1%)**	**$109,039**	**$378**	**0%**	**16%**	

Source: Company data, Goldman Sachs Global Investment Research, FactSet, StreetAccount

Estimate and price target changes

Estimate changes

We decrease our F2026/27/28 EPS estimates by 4% on average on the weaker F4Q26 guide and implied margin compression related to ongoing supply constraints.

Exhibit 2: AAPL estimate changes

$ millions, except per share data

	FY'2026E				FY'2027E				FY'2028E			
	Current	Prior	Δ ($, mn)	Δ (%)	Current	Prior	Δ ($, mn)	Δ (%)	Current	Prior	Δ ($, mn)	Δ (%)
Sales	479,425	482,633	(3,208)	-1%	518,697	517,584	1,113	0%	542,799	539,331	3,468	1%
Cost of sales	245,868	248,786	(2,918)	-1%	277,002	266,068	10,933	4%	287,428	276,339	11,089	4%
Gross profit	233,557	233,847	(290)	0%	241,696	251,516	(9,820)	-4%	255,371	262,992	(7,621)	-3%
Research & development	45,964	46,144	(180)	0%	51,716	52,076	(360)	-1%	57,316	57,676	(360)	-1%
Selling, General & Administration	29,761	29,323	438	1%	30,334	29,858	476	2%	31,134	30,658	476	2%
Total operating expenses	75,725	75,467	258	0%	82,050	81,934	116	0%	88,450	88,334	116	0%
Operating income	157,832	158,380	(548)	0%	159,646	169,582	(9,936)	-6%	166,921	174,658	(7,737)	-4%
Other income (expense), net	1,020	532	488	92%	845	986	(142)	-14%	973	1,327	(354)	-27%
Earnings before tax	158,852	158,912	(60)	0%	160,490	170,568	(10,077)	-6%	167,894	175,984	(8,091)	-5%
Tax	27,537	27,413	124	0%	27,283	28,997	(1,713)	-6%	28,542	29,917	(1,375)	-5%
Net income - GAAP	131,315	131,499	(184)	0%	133,207	141,571	(8,364)	-6%	139,352	146,067	(6,715)	-5%
Diluted EPS (GAAP)	**$8.91**	**$8.92**	**($0.01)**	**0%**	**$9.14**	**$9.73**	**($0.59)**	**-6%**	**$9.83**	**$10.27**	**($0.44)**	**-4%**
Diluted shares	14,745	14,747	(1)	0%	14,567	14,546	22	0%	14,179	14,219	(40)	0%
EBITDA	171,212	172,000	(788)	0%	174,583	185,117	(10,535)	-6%	183,653	192,187	(8,534)	-4%
iPhone	253,994	252,033	1,961	1%	272,140	257,454	14,685	6%	280,895	262,512	18,383	7%
Mac	36,504	36,911	(406)	-1%	41,925	44,701	(2,776)	-6%	44,478	47,423	(2,945)	-6%
iPad	29,098	31,169	(2,072)	-7%	31,335	35,250	(3,915)	-11%	30,118	31,420	(1,303)	-4%
Wearables, Home and Accessories	36,712	37,072	(360)	-1%	38,936	39,314	(378)	-1%	40,823	41,220	(397)	-1%
Products	356,307	357,184	(877)	0%	384,336	376,719	7,616	2%	396,314	382,575	13,739	4%
Services	123,118	125,449	(2,331)	-2%	134,362	140,865	(6,503)	-5%	146,485	156,756	(10,271)	-7%
Total revenue	**479,425**	**482,633**	**(3,208)**	**-1%**	**518,697**	**517,584**	**1,113**	**0%**	**542,799**	**539,331**	**3,468**	**1%**
Products Gross Profit	139,931	138,130	1,801	1%	140,258	143,894	(3,635)	-3%	144,634	143,073	1,562	1%
Services Gross Profit	93,626	95,717	(2,091)	-2%	101,437	107,622	(6,185)	-6%	110,736	119,919	(9,183)	-8%
Gross profit	**233,557**	**233,847**	**(290)**	**0%**	**241,696**	**251,516**	**(9,820)**	**-4%**	**255,371**	**262,992**	**(7,621)**	**-3%**
Products gross margin (%)	39.3%	38.7%		0.6%	36.5%	38.2%		(1.7%)	36.5%	37.4%		(0.9%)
Services gross margin (%)	76.0%	76.3%		(0.3%)	75.5%	76.4%		(0.9%)	75.6%	76.5%		(0.9%)
Total Gross Margin (%)	**48.7%**	**48.5%**		**0.3%**	**46.6%**	**48.6%**		**(2.0%)**	**47.0%**	**48.8%**		**(1.7%)**

Source: Goldman Sachs Global Investment Research

Price target, rating, and valuation

We are **Buy rated** on Apple with a **12-month target price of $360** (v. $370 prior) reflecting 37X (unchanged) our NTM+1Y EPS. Our price target falls due to our lower estimates.

Key risks include:

Weakening consumer demand for products and services. Apple's products and services are typically sold to consumers and any weakness in the macroeconomic environment could reduce demand for Apple products and services. Apple generated ~50% of its revenue from iPhones (F2025), which is highly dependent on purchases driven by upgrades. Lengthening replacement cycles due to macroeconomic headwinds, improved product durability, or lackluster product innovation could all negatively impact upgrade demand.

Supply chain disruption. Although Apple's suppliers have a global footprint, the majority of final assembly occurs in China. Increased geopolitical tension may result in disruptions to global trade including through tariffs. While Apple has a robust supply chain network, it may rely on one or a few key suppliers for unique or hard-to-manufacture at scale parts.

Intensifying competition. Apple competes across personal devices (e.g., handsets, tablets, PCs, headphones) and a variety of services (e.g., video streaming, app distribution, advertising, music streaming, online fitness, cloud storage, product warranties). Although Apple is the largest company and the most well resourced among its competitors, it is not the market leader in every single business line. For instance, in video streaming, it faces several key competitors that invest more heavily than Apple in content.

Regulatory risks. Apple is subject to intense regulatory scrutiny in all the major markets that it operates in. Regulatory intervention could result in weakening Apple's competitive advantages if it is forced to make its proprietary products or services available for competitors to use.

Capital allocation execution. Apple has a history of M&A, which has no guarantee of success. AAPL also has a history of share repurchases, which could prove to offer lower ROI or come under deeper regulatory scrutiny.

Apple designs, manufactures, and markets personal technology devices and sells a variety of related services. Its long history and track record of **(1) designing category-defining and innovative products** (e.g., Mac, iPhone, iPad, Apple Watch, AirPods, iPod); **(2) protecting digital privacy**; and **(3) delivering premium services & experiences** have contributed to an unmatched brand strength. Apple's brand loyalty has resulted in a growing installed base of users that provide Apple with visibility into revenue growth by reducing customer churn, lowering customer acquisition costs for new product and services launches (e.g., Apple TV+, Apple Fitness, Apple Watch), and encouraging repeat purchases, such as phone upgrades.

We are Buy rated on AAPL, as we believe that the market's focus on slower product revenue growth masks the strength of the Apple ecosystem and associated revenue durability & visibility. Apple's installed base growth, secular growth in services, and new product innovation should more than offset cyclical headwinds to product revenue, such as a reduced iPhone unit demand due to a lengthening replacement cycle and reduced consumer demand for the PC & tablet category. Valuation is attractive relative to AAPL's historical multiple – both on an absolute & relative basis – and compared to key tech peers. The majority of gross profit growth over the next 5-years should be driven by Services, which should mark an inflection point in the Services investment narrative and support AAPL's premium multiple. The durability of Apple's installed base and the resulting revenue growth visibility from attaching more Services and Products is what underpins the recurring revenue – or Apple-as-a-Service – opportunity.

Key risks to our view include weakening consumer demand, supply chain disruption, intensifying competition, regulatory risks, and capital allocation execution.

Income statement

Exhibit 3: AAPL income statement

$ millions, except per share data

Income statement ($, millions)	Q1'25 Dec-24	Q2'25 Mar-25	Q3'25 Jun-25	Q4'25 Sep-25	Q1'26 Dec-25	Q2'26 Mar-26	Q3'26 Jun-26	Q4'26E Sep-26	Q1'27E Dec-26	Q2'27E Mar-27	Q3'27E Jun-27	Q4'27E Sep-27	Q1'28E Dec-27	Q2'28E Mar-28	Q3'28E Jun-28	Q4'28E Sep-28	FY'2024	FY'2025	FY'2026E	FY'2027E	FY'2028E
Sales	**124,300**	**95,359**	**94,036**	**102,466**	**143,756**	**111,184**	**109,417**	**115,068**	**151,094**	**122,021**	**124,190**	**121,393**	**157,772**	**128,163**	**130,054**	**126,810**	**391,035**	**416,161**	**479,425**	**518,697**	**542,799**
Cost of sales	66,025	50,492	50,318	54,125	74,525	56,403	54,647	60,293	80,417	65,125	67,157	64,302	83,416	67,846	69,661	66,506	210,352	220,960	245,868	277,002	287,428
Gross profit	**58,275**	**44,867**	**43,718**	**48,341**	**69,231**	**54,781**	**54,770**	**54,775**	**70,677**	**56,896**	**57,032**	**57,091**	**74,356**	**60,317**	**60,393**	**60,305**	**180,683**	**195,201**	**233,557**	**241,696**	**255,371**
Research & development	8,268	8,550	8,866	8,866	10,887	11,419	11,729	11,929	12,429	12,829	13,129	13,329	13,829	14,229	14,529	14,729	31,370	34,550	45,964	51,716	57,316
Selling, General & Administration	7,175	6,728	6,650	7,048	7,492	7,477	7,346	7,446	7,846	7,496	7,446	7,546	8,046	7,696	7,646	7,746	26,097	27,601	29,761	30,334	31,134
Total operating expenses	15,443	15,278	15,516	15,914	18,379	18,896	19,075	19,375	20,275	20,325	20,575	20,875	21,875	21,925	22,175	22,475	57,467	62,151	75,725	82,050	88,450
Operating income	**42,832**	**29,589**	**28,202**	**32,427**	**50,852**	**35,885**	**35,695**	**35,400**	**50,402**	**36,571**	**36,457**	**36,216**	**52,481**	**38,392**	**38,218**	**37,830**	**123,216**	**133,050**	**157,832**	**159,646**	**166,921**
Other income (expense), net	-248	-279	-171	377	150	-52	572	350	176	261	208	200	226	296	235	217	269	(321)	1,020	845	973
Earnings before tax	**42,584**	**29,310**	**28,031**	**32,804**	**51,002**	**35,833**	**36,267**	**35,750**	**50,577**	**36,831**	**36,666**	**36,416**	**52,707**	**38,688**	**38,453**	**38,046**	**123,485**	**132,729**	**158,852**	**160,490**	**167,894**
Tax (Non-GAAP)	6,254	4,530	4,597	5,338	8,905	6,255	6,478	5,899	8,598	6,261	6,233	6,191	8,960	6,577	6,537	6,468	19,503	20,719	27,537	27,283	28,542
Tax rate	*14.7%*	*15.5%*	*16.4%*	*16.3%*	*17.5%*	*17.5%*	*17.9%*	*16.5%*	*17.0%*	*17.0%*	*17.0%*	*17.0%*	*17.0%*	*17.0%*	*17.0%*	*17.0%*	*15.8%*	*15.6%*	*17.3%*	*17.0%*	*17.0%*
Net income (Non-GAAP)	**36,330**	**24,780**	**23,434**	**27,466**	**42,097**	**29,578**	**29,789**	**29,851**	**41,979**	**30,570**	**30,432**	**30,225**	**43,747**	**32,111**	**31,916**	**31,578**	**103,982**	**112,010**	**131,315**	**133,207**	**139,352**
Post-tax exceptionals	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	10,246	0	0	0	0
Net income - GAAP	**36,330**	**24,780**	**23,434**	**27,466**	**42,097**	**29,578**	**29,789**	**29,851**	**41,979**	**30,570**	**30,432**	**30,225**	**43,747**	**32,111**	**31,916**	**31,578**	**93,736**	**112,010**	**131,315**	**133,207**	**139,352**
Basic EPS (Non-GAAP)	$2.41	$1.65	$1.57	$1.85	$2.85	$2.02	$2.03	$2.03	$2.87	$2.10	$2.10	$2.10	$3.06	$2.27	$2.27	$2.26	$6.78	$7.49	$8.94	$9.18	$9.87
Diluted EPS (Non-GAAP)	**$2.40**	**$1.65**	**$1.57**	**$1.85**	**$2.84**	**$2.01**	**$2.02**	**$2.03**	**$2.86**	**$2.09**	**$2.09**	**$2.09**	**$3.05**	**$2.26**	**$2.26**	**$2.25**	**$6.75**	**$7.46**	**$8.91**	**$9.14**	**$9.83**
Basic EPS (GAAP)	$2.41	$1.65	$1.57	$1.85	$2.85	$2.02	$2.03	$2.03	$2.87	$2.10	$2.10	$2.10	$3.06	$2.27	$2.27	$2.26	$6.11	$7.49	$8.94	$9.18	$9.87
Diluted EPS (GAAP)	**$2.40**	**$1.65**	**$1.57**	**$1.85**	**$2.84**	**$2.01**	**$2.02**	**$2.03**	**$2.86**	**$2.09**	**$2.09**	**$2.09**	**$3.05**	**$2.26**	**$2.26**	**$2.25**	**$6.08**	**$7.46**	**$8.91**	**$9.14**	**$9.83**
Basic shares	15,082	14,991	14,903	14,815	14,748	14,673	14,656	14,672	14,629	14,557	14,470	14,378	14,278	14,174	14,067	13,962	15,344	14,948	14,687	14,509	14,120
Diluted shares	15,151	15,056	14,948	14,864	14,810	14,726	14,715	14,731	14,688	14,616	14,529	14,437	14,337	14,232	14,126	14,021	15,408	15,005	14,745	14,567	14,179
Dividend per share	**$0.25**	**$0.25**	**$0.26**	**$0.26**	**$0.26**	**$0.26**	**$0.27**	**$0.27**	**$0.27**	**$0.27**	**$0.28**	**$0.28**	**$0.28**	**$0.28**	**$0.29**	**$0.29**	**$0.98**	**$1.02**	**$1.06**	**$1.10**	**$1.14**

Year-over-year change (%)	Q1'25 Dec-24	Q2'25 Mar-25	Q3'25 Jun-25	Q4'25 Sep-25	Q1'26 Dec-25	Q2'26 Mar-26	Q3'26 Jun-26	Q4'26E Sep-26	Q1'27E Dec-26	Q2'27E Mar-27	Q3'27E Jun-27	Q4'27E Sep-27	Q1'28E Dec-27	Q2'28E Mar-28	Q3'28E Jun-28	Q4'28E Sep-28	FY'2024	FY'2025	FY'2026E	FY'2027E	FY'2028E
Sales	**4%**	**5%**	**10%**	**8%**	**16%**	**17%**	**16%**	**12%**	**5%**	**10%**	**14%**	**5%**	**4%**	**5%**	**5%**	**4%**	**2%**	**6%**	**15%**	**8%**	**5%**
Cost of sales	2%	4%	9%	6%	13%	12%	9%	11%	8%	15%	23%	7%	4%	4%	4%	3%	-2%	5%	11%	13%	4%
Gross profit	**6%**	**6%**	**10%**	**10%**	**19%**	**22%**	**25%**	**13%**	**2%**	**4%**	**4%**	**4%**	**5%**	**6%**	**6%**	**6%**	**7%**	**8%**	**20%**	**3%**	**6%**
Research & development	7%	8%	11%	14%	32%	34%	32%	35%	14%	12%	12%	12%	11%	11%	11%	11%	5%	10%	33%	13%	11%
Selling, General & Administration	6%	4%	5%	8%	4%	11%	10%	6%	5%	0%	1%	1%	3%	3%	3%	3%	5%	6%	8%	2%	3%
Total operating expenses	**7%**	**6%**	**8%**	**11%**	**19%**	**24%**	**23%**	**22%**	**10%**	**8%**	**8%**	**8%**	**8%**	**8%**	**8%**	**8%**	**5%**	**8%**	**22%**	**8%**	**8%**
Operating income	**6%**	**6%**	**11%**	**10%**	**19%**	**21%**	**27%**	**9%**	**-1%**	**2%**	**2%**	**2%**	**4%**	**5%**	**5%**	**4%**	**8%**	**8%**	**19%**	**1%**	**5%**
D&A	8%	-6%	-1%	7%	4%	29%	17%	9%	9%	8%	15%	14%	13%	12%	12%	11%	-1%	2%	14%	12%	12%
EBITDA	6%	5%	10%	9%	18%	22%	26%	9%	0%	2%	3%	3%	5%	6%	5%	5%	7%	7%	18%	2%	5%
Earnings before tax	**6%**	**4%**	**10%**	**11%**	**20%**	**22%**	**29%**	**9%**	**-1%**	**3%**	**1%**	**2%**	**4%**	**5%**	**5%**	**4%**	**9%**	**7%**	**20%**	**1%**	**5%**
Net income (Non-GAAP)	**7%**	**5%**	**9%**	**10%**	**16%**	**19%**	**27%**	**9%**	**0%**	**3%**	**2%**	**1%**	**4%**	**5%**	**5%**	**4%**	**7%**	**8%**	**17%**	**1%**	**5%**
Net income - GAAP	**7%**	**5%**	**9%**	**86%**	**16%**	**19%**	**27%**	**9%**	**0%**	**3%**	**2%**	**1%**	**4%**	**5%**	**5%**	**4%**	**-3%**	**19%**	**17%**	**1%**	**5%**
Basic EPS (Non-GAAP)	10%	8%	12%	13%	18%	22%	29%	10%	1%	4%	3%	3%	7%	8%	8%	8%	10%	11%	19%	3%	7%
Diluted EPS (Non-GAAP)	**10%**	**8%**	**12%**	**13%**	**19%**	**22%**	**29%**	**10%**	**1%**	**4%**	**3%**	**3%**	**7%**	**8%**	**8%**	**8%**	**10%**	**11%**	**19%**	**3%**	**7%**
Basic EPS (GAAP)	10%	8%	12%	91%	18%	22%	29%	10%	1%	4%	3%	3%	7%	8%	8%	8%	-1%	23%	19%	3%	7%
Diluted EPS (GAAP)	**10%**	**8%**	**12%**	**91%**	**19%**	**22%**	**29%**	**10%**	**1%**	**4%**	**3%**	**3%**	**7%**	**8%**	**8%**	**8%**	**-1%**	**23%**	**19%**	**3%**	**7%**
Basic shares	-3%	-3%	-3%	-2%	-2%	-2%	-2%	-1%	-1%	-1%	-1%	-2%	-2%	-3%	-3%	-3%	-3%	-3%	-2%	-1%	-3%
Diluted shares	-3%	-3%	-3%	-2%	-2%	-2%	-2%	-1%	-1%	-1%	-1%	-2%	-2%	-3%	-3%	-3%	-3%	-3%	-2%	-1%	-3%

% of revenue	Q1'25 Dec-24	Q2'25 Mar-25	Q3'25 Jun-25	Q4'25 Sep-25	Q1'26 Dec-25	Q2'26 Mar-26	Q3'26 Jun-26	Q4'26E Sep-26	Q1'27E Dec-26	Q2'27E Mar-27	Q3'27E Jun-27	Q4'27E Sep-27	Q1'28E Dec-27	Q2'28E Mar-28	Q3'28E Jun-28	Q4'28E Sep-28	FY'2024	FY'2025	FY'2026E	FY'2027E	FY'2028E
Sales	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%
Cost of sales	53.1%	52.9%	53.5%	52.8%	51.8%	50.7%	49.9%	52.4%	53.2%	53.4%	54.1%	53.0%	52.9%	52.9%	53.6%	52.4%	53.8%	53.1%	51.3%	53.4%	53.0%
Gross profit	**46.9%**	**47.1%**	**46.5%**	**47.2%**	**48.2%**	**49.3%**	**50.1%**	**47.6%**	**46.8%**	**46.6%**	**45.9%**	**47.0%**	**47.1%**	**47.1%**	**46.4%**	**47.6%**	**46.2%**	**46.9%**	**48.7%**	**46.6%**	**47.0%**
Research & development	6.7%	9.0%	9.4%	8.7%	7.6%	10.3%	10.7%	10.4%	8.2%	10.5%	10.6%	11.0%	8.8%	11.1%	11.2%	11.6%	8.0%	8.3%	9.6%	10.0%	10.6%
Selling, General & Administration	5.8%	7.1%	7.1%	6.9%	5.2%	6.7%	6.7%	6.5%	5.2%	6.1%	6.0%	6.2%	5.1%	6.0%	5.9%	6.1%	6.7%	6.6%	6.2%	5.8%	5.7%
Total operating expenses	12.4%	16.0%	16.5%	15.5%	12.8%	17.0%	17.4%	16.8%	13.4%	16.7%	16.6%	17.2%	13.9%	17.1%	17.1%	17.7%	14.7%	14.9%	15.8%	15.8%	16.3%
Operating income	**34.5%**	**31.0%**	**30.0%**	**31.6%**	**35.4%**	**32.3%**	**32.6%**	**30.8%**	**33.4%**	**30.0%**	**29.4%**	**29.8%**	**33.3%**	**30.0%**	**29.4%**	**29.8%**	**31.5%**	**32.0%**	**32.9%**	**30.8%**	**30.8%**
D&A	2.5%	2.8%	3.0%	3.1%	2.2%	3.1%	3.0%	3.0%	2.3%	3.0%	3.1%	3.2%	2.5%	3.3%	3.3%	3.4%	2.9%	2.8%	2.8%	2.9%	3.1%
EBITDA	36.9%	33.8%	33.0%	34.7%	37.6%	35.4%	35.7%	33.7%	35.7%	33.0%	32.4%	33.0%	35.8%	33.2%	32.7%	33.2%	34.4%	34.8%	35.7%	33.7%	33.8%
Earnings before tax	**34.3%**	**30.7%**	**29.8%**	**32.0%**	**35.5%**	**32.2%**	**33.1%**	**31.1%**	**33.5%**	**30.2%**	**29.5%**	**30.0%**	**33.4%**	**30.2%**	**29.6%**	**30.0%**	**31.6%**	**31.9%**	**33.1%**	**30.9%**	**30.9%**
Net income (Non-GAAP)	**29.2%**	**26.0%**	**24.9%**	**26.8%**	**29.3%**	**26.6%**	**27.2%**	**25.9%**	**27.8%**	**25.1%**	**24.5%**	**24.9%**	**27.7%**	**25.1%**	**24.5%**	**24.9%**	**26.6%**	**26.9%**	**27.4%**	**25.7%**	**25.7%**
Net income - GAAP	**29.2%**	**26.0%**	**24.9%**	**26.8%**	**29.3%**	**26.6%**	**27.2%**	**25.9%**	**27.8%**	**25.1%**	**24.5%**	**24.9%**	**27.7%**	**25.1%**	**24.5%**	**24.9%**	**24.0%**	**26.9%**	**27.4%**	**25.7%**	**25.7%**

Source: Goldman Sachs Global Investment Research, Company data

Disclosure Appendix

Reg AC

We, Michael Ng, CFA, Lindsey Shema, Yash Goenka, CFA and Katherine Murphy, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

Unless otherwise stated, the individuals listed on the cover page of this report are analysts in Goldman Sachs' Global Investment Research division.

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GS Factor Profile

The Goldman Sachs Factor Profile provides investment context for a stock by comparing key attributes to the market (i.e. our universe of rated stocks) and its sector peers. The four key attributes depicted are: Growth, Financial Returns, Multiple (e.g. valuation) and Integrated (a composite of Growth, Financial Returns and Multiple). Growth, Financial Returns and Multiple are calculated by using normalized ranks for specific metrics for each stock. The normalized ranks for the metrics are then averaged and converted into percentiles for the relevant attribute. The precise calculation of each metric may vary depending on the fiscal year, industry and region, but the standard approach is as follows:

Growth is based on a stock's forward-looking sales growth, EBITDA growth and EPS growth (for financial stocks, only EPS and sales growth), with a higher percentile indicating a higher growth company. **Financial Returns** is based on a stock's forward-looking ROE, ROCE and CROCI (for financial stocks, only ROE), with a higher percentile indicating a company with higher financial returns. **Multiple** is based on a stock's forward-looking P/E, P/B, price/dividend (P/D), EV/EBITDA, EV/FCF and EV/Debt Adjusted Cash Flow (DACF) (for financial stocks, only P/E, P/B and P/D), with a higher percentile indicating a stock trading at a higher multiple. The **Integrated** percentile is calculated as the average of the Growth percentile, Financial Returns percentile and (100% - Multiple percentile).

Financial Returns and Multiple use the Goldman Sachs analyst forecasts at the fiscal year-end at least three quarters in the future. Growth uses inputs for the fiscal year at least seven quarters in the future compared with the year at least three quarters in the future (on a per-share basis for all metrics).

For a more detailed description of how we calculate the GS Factor Profile, please contact your GS representative.

M&A Rank

Across our global coverage, we examine stocks using an M&A framework, considering both qualitative factors and quantitative factors (which may vary across sectors and regions) to incorporate the potential that certain companies could be acquired. We then assign a M&A rank as a means of scoring companies under our rated coverage from 1 to 3, with 1 representing high (30%-50%) probability of the company becoming an acquisition target, 2 representing medium (15%-30%) probability and 3 representing low (0%-15%) probability. For companies ranked 1 or 2, in line with our standard departmental guidelines we incorporate an M&A component into our target price. M&A rank of 3 is considered immaterial and therefore does not factor into our price target, and may or may not be discussed in research.

Quantum

Quantum is Goldman Sachs' proprietary database providing access to detailed financial statement histories, forecasts and ratios. It can be used for in-depth analysis of a single company, or to make comparisons between companies in different sectors and markets.

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Goldman Sachs Investment Research global Equity coverage universe

	Rating Distribution			Investment Banking Relationships		
	Buy	Hold	Sell	Buy	Hold	Sell
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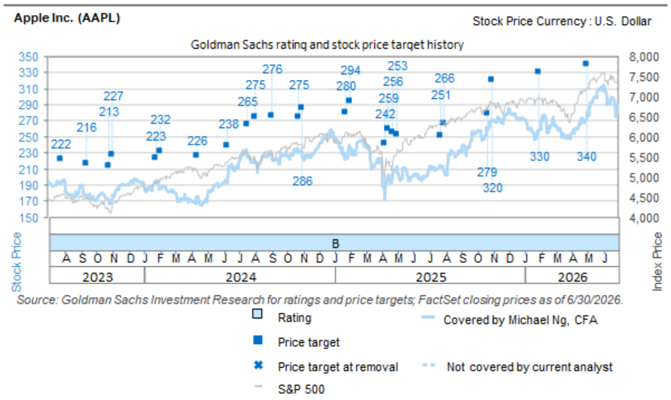
Price target and rating history chart(s)



The price targets shown should be considered in the context of all prior published Goldman Sachs research, which may or may not have included price targets, as well as developments relating to the company, its industry and financial markets.

Target price history table(s)

Apple Inc. (AAPL)

Date of report	Target price ($)	Closing price ($)
27-Jul-26	370.00	336.91
01-May-26	340.00	280.14
30-Jan-26	330.00	259.48
31-Oct-25	320.00	270.37
21-Oct-25	279.00	262.77
01-Aug-25	266.00	202.38
23-Jul-25	251.00	214.15
02-May-25	253.00	205.35
22-Apr-25	256.00	199.74
14-Apr-25	259.00	202.52
07-Apr-25	242.00	181.46
31-Jan-25	294.00	236.00
23-Jan-25	280.00	223.66
01-Nov-24	286.00	222.91
24-Oct-24	275.00	230.57
03-Sep-24	276.00	222.77
02-Aug-24	275.00	219.86
18-Jul-24	265.00	224.18
11-Jun-24	238.00	207.15
12-Apr-24	226.00	176.55
02-Feb-24	232.00	185.85
25-Jan-24	223.00	194.17
03-Nov-23	227.00	176.65
25-Oct-23	213.00	171.10
13-Sep-23	216.00	174.21

Price targets shown in table(s) are unadjusted for corporate actions.

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